ACCOUNT UPDATE · SUMMARY

Pearson

Trading update · Nine months to 30 September 2026 · released 22 October 2026

> Pearson reported 5% underlying revenue growth for the nine-month period, accelerated to 6% in Q3, and narrowed its adjusted operating profit guidance to £650m-£675m. Two strategic acquisitions were announced to strengthen assessment and AI-driven enterprise capabilities.

What's happening

- Re-segmenting into four customer-focused units with new operating model.
- One-off £50m reorganisation cost; savings reinvested in growth.
- Acquired ITS and will acquire Workera to boost assessment tech.
- AI-driven products and platform convergence underway.

Guidance — Narrowed

ITEM	NOW	STATUS
Adjusted operating profit	£650m-£675m	Narrowed from £640m-£685m
Underlying revenue growth	mid-single digit growth	Kept
Free cash flow conversion	90%-100%	Kept

Leadership changes

- **Omar Abbosh**, Chief Executive Officer — unchanged
- **Tom ap Simon**, President, Higher Education and Virtual Learning — appointed (Effective during 2026 trading update)

Technology & IT spending

- ITS acquisition adds in-house assessment technology.
- Workera acquisition brings AI-native talent assessment.
- AI co-writing assistant launched for test-takers.
- Skills intelligence platform built for enterprise AI economy.
- £87m impairment funds platform convergence, targeting £15m annual profit lift.

Key dates

DATE	EVENT
30 September 2026	End of nine-month reporting period
11 October 2026	Virtual Schools Investor Seminar (online)

Source: PEARSON 2026 NINE MONTH TRADING UPDATE. Full detail in the companion document.